AC241 – Uses of Accounting Information II

Chapter 6 – Cost Behavior

Key Terms

1. **Absorption Costing** – A costing method that includes all manufacturing costs - direct materials, direct labor, and both variable and fixed overhead - as part of the cost of a finished unit of product. This term is synonymous with full costing method.

2. **Account Analysis** - A method for analyzing cost behavior in which each account under consideration is classified as either variable or fixed based on the analyst's prior knowledge of how the cost in the account behaves.

3. **Committed Fixed Costs** – Committed fixed costs are those fixed costs that are difficult to adjust and that relate to the investment in facilities, equipment, and the basic organizational structure of a firm.

4. **Contribution Margin** – The difference between total sales revenue and total variable costs.

5. **Contribution Margin Income Statement** – Income statement that organizes cost by behavior. It shows the relationship of variable costs and fixed costs, regardless of the functions a given cost item is associated with.

6. **Cost Behavior** – Cost behavior refers to how a cost will react or respond to changes in the level of business activity or volume. As the level of activity rises and falls, a particular cost may rise and fall as well--or it may remain constant.

7. **Cost Equation** – A mathematical equation for a straight line that expresses how a cost behaves.

8. **Curvilinear Costs** – A cost that changes with volume but not at a constant rate. A cost function that cannot be represented with a straight line but instead is represented with a curve that reflects either increasing or decreasing marginal costs.

9. **Discretionary Costs** – A cost changed easily in the short-run by management decision such as advertising, repairs and maintenance, and research and development; also called *managed cost*.

10. **Fixed Costs** – A cost that does not vary depending on production or sales levels, such as rent, property tax, insurance, or interest expense.

11. **High-Low Method** – An algebraic procedure used to separate a semivariable cost or mixed cost into the fixed and the variable components. The high-low method, as the name indicates, uses two extreme data points to determine the values of a (the fixed cost portion) and b (the variable rate) in the cost - volume formula $y = a + bx$. The extreme data points are the highest and lowest x - y pairs.

    For example, if at the highest volume of processing items there were 10,000 items processed at a total cost of $35,000 and at the lowest volume there were 6,000 items processed at a total cost of $27,000, the high-low method indicates the variable rate was $2 per unit. ($35,000 – $27,000) divided by (10,000 – 6,000). The fixed amount will be $15,000 [$27,000 – $2(6,000)].

12. **Mixed Cost** – A cost that has both a variable and a fixed component; it varies with changes in activity, but not proportionately.

13. **Regression Analysis** – A statistical procedure for determining the line that best fits the data by using all of the data points, not just the high and low data points.

14. **Relevant Range** – The band of volume for which cost-behavior assumptions (fixed cost, fixed cost, variable cost) remain valid.

15. **Scatter Plot** – The scatter plot method (also called *scatter graph* or *scatter chart method*) involves estimating the fixed and variable elements of a mixed cost visually on a graph by plotting historical cost and volume data.

16. **Step Costs** –Costs that are approximately fixed over a small volume range, but are variable over a large volume range. For example, supervision costs are fixed for a given range of production volume, but increased production often requires additional work shifts leading to added supervisory costs in a lump-sum fashion.

17. **Outliers** – Abnormal data points; data points that do not fall in the same general pattern as the other data points in a data set.

18. **Variable Costs** – A cost that is directly proportional to the volume of output produced.

19. **Variable Costing** – A costing method in which the costs to be inventoried include only variable manufacturing costs (direct materials, direct labor and variable manufacturing overhead). Fixed factory overhead is treated as a period cost and is deducted along with selling and administrative expenses in the period incurred.